

Financial Data

Metric	Q1 (\$)	Q2 (\$)	Source / Note
Revenue	500,000	560,000	Illustrative figures created for this project exercise
Cost of Goods Sold	300,000	324,800	Illustrative figures created for this project exercise
Gross Profit	200,000	235,200	Revenue less Cost of Goods Sold
Operating Expenses	130,000	140,000	Illustrative figures created for this project exercise
Operating Income	70,000	95,200	Gross Profit less Operating Expenses
Net Income	52,500	72,800	Illustrative figures created for this project exercise

Formula

Vertical Analysis % = $\text{Line Item} \div \text{Revenue} \times 100$. Percentages are displayed to one decimal place.

Vertical Analysis

Metric	Q1 % of Revenue	Q2 % of Revenue
Cost of Goods Sold	60.0%	58.0%
Gross Profit	40.0%	42.0%
Operating Expenses	26.0%	25.0%
Operating Income	14.0%	17.0%
Net Income	10.5%	13.0%

Formula: Line Item ÷ Revenue × 100 | Percentages rounded to one decimal place

Revenue used as denominator	Q1 Revenue	Q2 Revenue
	500,000	560,000

Performance Trend & Audit Risk Analysis

Financial performance improved from Q1 to Q2. Revenue increased from \$500,000 to \$560,000, representing 12.0% growth. Gross profit increased from \$200,000 to \$235,200, while the gross margin improved from 40.0% to 42.0%, a 2.0 percentage-point increase. This improvement occurred because Cost of Goods Sold increased at a slower rate than revenue, reducing COGS from 60.0% to 58.0% of revenue. This may indicate improved pricing, supplier cost management, or production efficiency.

Operating performance also strengthened. Operating expenses increased from \$130,000 to \$140,000 but declined relative to revenue from 26.0% to 25.0%. Consequently, the operating margin increased from 14.0% in Q1 to 17.0% in Q2, a 3.0 percentage-point improvement. Operating income rose from \$70,000 to \$95,200.

Importantly, the current project data does not show declining net income. Net income increased from \$52,500 to \$72,800, while net margin improved from 10.5% to 13.0%. The main drivers were higher revenue, improved gross margin, and slower growth in operating expenses.

SUMMARY

Despite the stronger results, several audit risk triggers require attention. First, revenue recognition risk increases when revenue grows significantly between periods. Auditors should verify that Q2 sales were genuine, recorded in the correct period, and supported by appropriate documentation. Incorrect recognition could overstate revenue and profit.

Second, COGS and inventory valuation risk arises because gross margin improved materially. Auditors should investigate whether the improvement reflects genuine efficiency or possible understatement of COGS, incorrect inventory valuation, or cutoff errors.

Third, operating expense completeness risk is relevant because expenses grew more slowly than revenue. Costs may have been omitted, deferred, or incorrectly capitalized rather than expensed.

These risks matter because errors in revenue, inventory, COGS, or expenses could materially overstate profitability and give executives, investors, and other stakeholders an inaccurate view of the company's financial performance.

Internal Control Assessment

The company's internal control environment presents several weaknesses that could increase the risk of financial error, fraud, and unreliable reporting.

A key concern is segregation of duties. If the same employee is responsible for initiating transactions, approving payments, recording entries, and reconciling accounts, there is insufficient independent oversight. This creates an opportunity for unauthorized transactions or errors to occur and remain undetected. Responsibilities for authorization, recording, custody of assets, and reconciliation should therefore be assigned to different individuals wherever possible.

There are also significant vendor payment control risks. Weak approval procedures may allow duplicate payments, payments to unauthorized or fictitious vendors, incorrect payment amounts, or payments without sufficient supporting documentation. Management should implement clear approval limits, require appropriate purchase orders and invoices, perform three-way matching where applicable, and ensure that changes to vendor banking details are independently verified.

Staffing changes can further weaken controls, particularly when experienced finance employees leave or responsibilities are temporarily reassigned. Reduced staffing may lead to excessive workloads, delayed reconciliations, inadequate review of transactions, and employees performing incompatible duties. New or temporary staff may also lack sufficient knowledge of existing financial policies and procedures.

If these weaknesses are not addressed, the organization could face financial misstatements, fraud losses, inaccurate management reporting, audit findings, regulatory concerns, and reputational damage. Weak controls may also reduce management's ability to rely on financial information for decision-making.

Management should prioritize stronger segregation of duties, formal payment authorization procedures, independent reconciliations, documented control responsibilities, and adequate training and handover processes during staffing changes. These measures would strengthen accountability and improve the reliability of financial reporting.

Process Improvement Recommendation — DMAIC

Define the Problem

The key process weakness is the vendor payment approval process, particularly where one employee may initiate, approve, process, and record payments. This creates a high risk of unauthorized payments, duplicate payments, fraud, and accounting errors.

Measure

Management should assess the current process by tracking the number of payment errors, duplicate invoices, late approvals, unsupported payments, vendor-detail changes, and reconciliation exceptions each month. These measures will establish a baseline for evaluating improvement.

Analyze

The likely root causes are inadequate segregation of duties, unclear approval limits, insufficient supporting documentation, and limited independent review. Staffing changes may further increase the risk if fewer employees are performing multiple incompatible responsibilities.

Improve

Implement a controlled vendor payment workflow requiring three-way matching between purchase orders, supplier invoices, and evidence of goods or services received. Payments above defined thresholds should require dual authorization, while vendor bank-detail changes should be independently verified. Payment preparation, approval, accounting, and bank reconciliation should be assigned to different employees where possible.

Control

Management should monitor the process through monthly payment exception reports, independent bank reconciliations, periodic vendor-master reviews, and approval compliance checks. KPIs such as duplicate payment rate, unauthorized payment incidents, reconciliation exceptions, and approval compliance percentage should be reported regularly.

This improvement reduces financial loss, fraud exposure, reporting errors, and audit risk while strengthening accountability and the reliability of financial information.